

HOUSE No. 5259

The Commonwealth of Massachusetts

HOUSE OF REPRESENTATIVES, March 18, 2026.

The committee on Economic Development and Emerging Technologies, to whom was referred the message from Her Excellency the Governor recommending legislation relative to preserve and advance Massachusetts' competitiveness in discovery, research, and innovation for a vibrant economy (House, No. 4375), reports recommending that the accompanying bill (House, No. 5259) ought to pass.

For the committee,

CAROLE A. FIOLA.

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The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to preserve and advance Massachusetts' competitiveness in discovery, research, and innovation for a vibrant economy.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Subsection (a) of section 2EEEEEE of chapter 29 of the General Laws, as
2 inserted by chapter 214 of the acts of 2024, is hereby amended by inserting after the word
3 “Matching” the following words:- , Fiscal Resilience.

4 SECTION 2. Subsection (d) of section 2EEEEEE, as so appearing, is hereby amended
5 by striking out the words “and (iii)” and inserting in place thereof the following words:-

6 (iii) protecting the commonwealth from the elimination, reduction, or material delay of
7 federal funds upon a determination by the secretary that the elimination, reduction, or material
8 delay of such federal funds would materially impact public health, safety or welfare, or the fiscal
9 stability of the commonwealth or any of its political subdivisions, in accordance with guidance
10 issued by the executive office for administration and finance; (iv) improving the financial
11 stability of hospitals and community health centers in the commonwealth that provide health care
12 to low-income, uninsured or underinsured residents, including by transferring any amounts in the
13 fund to the Health Safety Net Trust Fund, in accordance with guidance issued by the executive

office for administration and finance in consultation with the executive office of health and human services; (v) funding pay-as-you-go capital for any capital project or program up to the amount otherwise authorized by the General Court for such project or program in chapter 238 of the acts of 2024, in accordance with guidance issued by the executive office for administration and finance; and (vi)

SECTION 3. Subsection (d) of said section 2EEEEEE, as so appearing, is hereby further amended by inserting after the word “Matching” the following word:- , Fiscal Resilience.

SECTION 4. Subsection (e) of said section 2EEEEEE, as so appearing, is hereby amended by inserting after the word “Matching” the following word:- , Fiscal Resilience.

SECTION 5. Section 3 of chapter 214 of the acts of 2024 is hereby amended by striking out the figure “2026” and inserting in place thereof the following figure:- 2029.

SECTION 6. Said section 3 of said chapter 214 of the acts of 2024 is hereby further amended by inserting after the word “Matching” the following word:- , Fiscal Resilience.

SECTION 7. Section 4 of said chapter 214 of the acts of 2024 is hereby further amended by inserting after the word “Matching” the following word:- , Fiscal Resilience.

SECTION 8. Said section 4 of chapter 214 of the acts of 2024 is hereby further amended by inserting after the figure “117-169” the following words:-

and funding to organizations that hold tax-exempt status granted under section 501(c)(3) of the Internal Revenue Code, or are otherwise recognized as a tax-exempt charitable organization by the department of revenue that have experienced elimination, reduction,

disruption or delay of federal funding, for purposes of protecting jobs, improving employment, and promoting opportunities, the economic vitality and the public health of the commonwealth.

SECTION 9. Said section 4 of chapter 214 of the acts of 2024 is hereby further amended by inserting after the word “finance;” the following words:-

provided, that not more than \$200,000,000 may be expended from the Commonwealth Federal Matching and Debt Reduction Fund by the executive office for administration and finance, in consultation with the executive office of education, the executive office of labor and workforce development and the executive office of economic development, as a bridge funding reserve to support public institutions of higher education in the commonwealth to enable them to adapt to federal funding uncertainty, loss or diminishment of federal research funding, and to encourage advancement of scientific research, enhance employment opportunities and talent development, and to enable participation in partnerships and joint ventures related to research and innovation; provided further, that said amount may be used as flexible funding support for public institutions of higher education in the commonwealth to fund direct and indirect costs of research, to retain talent and preserve the pace of scientific discovery in the commonwealth; provided further, that said amount may be used as a talent retention and extension reserve to fund positions in research and teaching, including graduate, post doctorate and other early career research professionals that would otherwise be unfunded due to reductions in federal indirect rates, to build a bridge to future funding levels and sources; provided further, that said amount may be used to fund research opportunities, partnerships and joint ventures to support research activity, employment, and advance innovation and opportunity in the commonwealth including considerations of regional impact and geographic equity, including but not limited to opportunities related to advanced manufacturing and technology, agricultural science and

57 technology, bioengineering and life sciences, civil engineering and advanced construction
58 materials, climate and environmental science, ecology, education and child development,
59 electronics, energy, fisheries and wildlife science and management, forestry science and
60 management, marine science and technology, medical science and technology, meteorology and
61 atmospheric science, nursing science, public health and applied health sciences, and robotics;
62 provided further, that the executive office for administration and finance shall submit quarterly
63 reports to the clerks of the house of representatives and the senate and the house and senate
64 committees on ways and means detailing expenditures under this clause and said sums shall be
65 made available through the fiscal year ending June 30, 2028; provided further, that the executive
66 office for administration and finance may transfer any funds available under this section
67 necessary to carry out the purposes of this clause;

68 SECTION 10. Section 4 of chapter 214 of the acts of 2024 is hereby further amended by
69 striking out the figure “2026” and inserting in place thereof the following figure:- 2029.